

Japan Chemicals: Silicon wafer trade data: Aug export value reached a new record high, while shipment volumes remained at elevated levels

According to Japan's Ministry of Finance trade statistics, silicon wafer export value increased 23% YoY and 12% MoM in August 2026, reaching a new all-time high. Export volume (weight basis) also remained strong at +13% YoY and flat MoM. Shipment volumes have posted double-digit year-on-year growth since June, suggesting that utilization rates at major wafer manufacturers remain at high levels. ASPs also appear to be improving, supported by favorable FX movements, selective spot price increases, and a richer product mix.

Demand for 300mm wafers continues to grow steadily, driven not only by memory and logic/foundry applications but also by expanding AI server-related demand across a broad range of semiconductors, including power devices. We forecast global wafer manufacturer utilization rates (excluding China) to rise to approximately 95% in 2026 and approach full utilization in 2027. Given the limited increase in industry supply capacity over both the near and medium term, we believe wafer supply-demand conditions could tighten further in 2028. We reiterate our Buy ratings on Shin-Etsu Chemical and SUMCO.

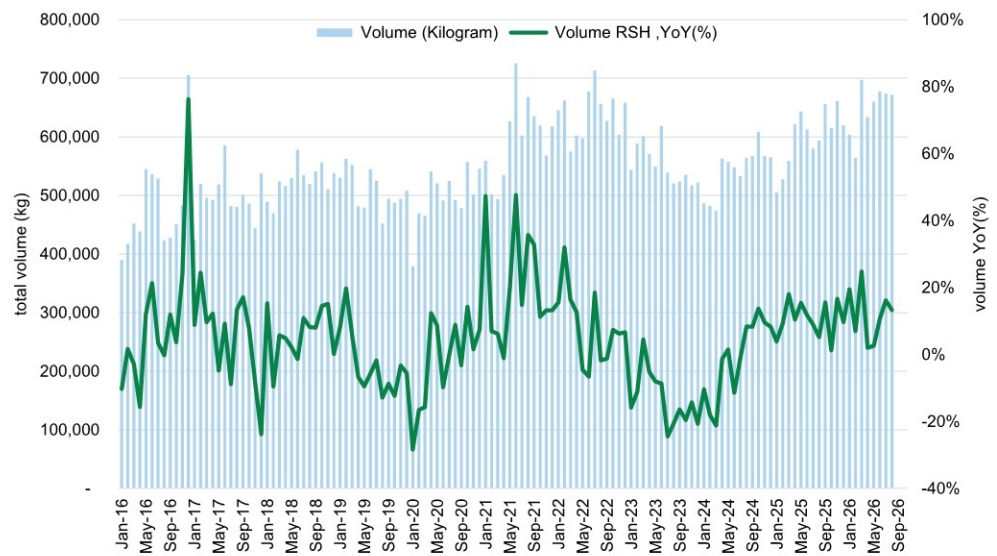
Wafer export volumes by region

By destination, shipment volumes to Taiwan increased 20% YoY, highlighting continued strength in leading-edge logic and AI-related demand. Exports to China also remained solid, growing 20% YoY. Shipment volumes to South Korea rose 9% YoY, pointing to resilient memory-related demand, including HBM. Overall, robust shipments across major Asian markets continue to indicate healthy expansion in demand for advanced semiconductors.

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Exhibit 1: Silicon wafer export volume trend

Source: Ministry of Finance, Bloomberg

Exhibit 2: Silicon wafer export price trend

Source: Ministry of Finance, Bloomberg

Price Target Risks and Methodology - SUMCO

We are Buy-rated on SUMCO with a 12-month target price of ¥5,500. Our target price is based on the FY12/27-FY12/28 average correlation between the materials sector EV/GCI and CROCI/WACC estimate (using a cash return multiple of 0.7X).

Key risks: A slowdown in semiconductor demand, yen appreciation, and a greater-than-expected increase in depreciation and other fixed costs.

Price Target Risks and Methodology - Shin-Etsu Chemical

We are Buy-rated on Shin-Etsu Chemical with a 12-month target price of ¥9,510. Our target price is based on the FY3/28-FY3/29 average correlation between the materials sector EV/GCI and CROCI/WACC estimates (using a cash return multiple of 0.7X and a 20% premium to the sector average).

Key risks: Deterioration in semiconductor supply/demand, and a negative earnings impact from swings in market prices for PVC and caustic soda, and in forex.

Disclosure Appendix

Reg AC

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SUMCO (Buy, ¥3,020) and Shin-Etsu Chemical (Buy, ¥5,814)

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